

Multiple Choice (10 marks)

1. Which of the following statements is most consistent with a capitalist market economy?
 - (a) Economic resources are allocated according to the decisions of the central bank.
 - (b) Private property is fundamental to innovation, growth, and trade.
 - (c) A central government plans the production and distribution of goods.
 - (d) Most wages and prices are legally controlled.
2. A dark room technician who develops film into photographs loses his job because few people use film cameras any more. This is an example of which of the following?
 - (a) Seasonal unemployment
 - (b) Casual unemployment
 - (c) Cyclical unemployment
 - (d) Structural unemployment
 - (e) Underemployment
3. If a Johansen "trace" test for a null hypothesis of 2 cointegrating vectors is applied to a system containing 4 variables is conducted, which eigenvalues would be used in the test?
 - (a) The largest and smallest
 - (b) The smallest and second smallest
 - (c) The middle two
 - (d) The smallest 2
 - (e) The largest 2
4. If real GDP per capita was 10000 in 1990 and 15000 in 2000 then the amount of economic growth is
 - (a) 75 percent.
 - (b) 0.5 percent.
 - (c) 20 percent.
 - (d) 100 percent.
 - (e) 25 percent.
5. Which of the following would shift the aggregate demand curve to the left?
 - (a) An increase in consumer confidence.

- (b) Increase in the prices of goods and services.
- (c) Business firms expect lower sales in the future.
- (d) A technological advancement in the production process.
- (e) An increase in the wealth of consumers.

True / False (10 marks)

Answer True or False

6. True or False: Theo's job loss due to seasonal pool closure exemplifies natural unemployment, reflecting unavoidable fluctuations in the labor market.
7. True or False: Workers' productivity decreases as they receive higher wages, leading firms to raise wage rates in a competitive market.
8. True or False: The velocity of money in the United States, given a total transaction value of 100,000 and a money supply of 10,000, is 20.
9. True or False: The coefficient estimates in VARs are always positive, reflecting the nature of relationships among the variables.
10. True or False: Demand for a good with many close substitutes tends to be highly elastic due to the availability of alternatives.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the impact of multicollinearity on the properties of the Ordinary Least Squares (OLS) estimator, focusing on its bias and efficiency.
12. Discuss the characteristics of a kinked demand curve in oligopoly markets and explain why the condition $P < MC$ does not align with its fundamental principles.

End of Paper